

KIOXIA Holdings (285A)

Raising earnings estimates on strong pricing: Rerating hinges on greater LTA credibility

We revise our earnings forecasts based on recent trends. While we reiterate our Overweight rating, we lower our price target to ¥130,000 through end-December 2027 (previously ¥155,000 through end-December 2026). We remain constructive on Kioxia's medium-to-long-term growth and competitive positioning, but we believe a valuation step-up will still take time; accordingly, we have revised our target multiple. We see improved market confidence in long-term agreements (LTA) as the key, and in particular (a) the degree of enforceability (e.g., cancellation terms), and (b) how much the company can smooth the pricing curve (details [here](#)). While establishing credibility may take time, we believe Kioxia will continue to strengthen its presence in the NAND market through its three product series—CM/GP/LC—during the interim. We are particularly focused on the SLC-based GP series (Super High IOPS), which could also become a medium-term driver of tighter supply-demand.

- **Earnings estimates (upward revisions):** We revise up our operating profit estimates from ¥7,418.8 billion to ¥8,002.1 billion (+9x YoY) for FY2026, from ¥10,562.5 billion to ¥11,241.0 billion (+40% YoY) for FY2027, and from ¥13,926.0 billion to ¥14,562.3 billion (+30% YoY) for FY2029. Compared to our prior forecasts, (1) we push back the timing of consumer ASP turning downward, reflecting tighter supply-demand (from 3Q CY2027 to 4Q CY2027). While we still assume diverging pricing momentum between eSSD (continued price hikes) and consumer NAND as YMTC output expands, we now expect the decline to be smaller and impact to begin later than previously. (2) We raise our eSSD ASP assumptions, primarily reflecting stronger-than-expected price revisions in 2Q CY2026. We continue to assume that pricing stabilizes from 2027 onward as multiyear LTAs (with the company targeting 50% LTA coverage in 2028) gain traction. (3) We leave our CY-basis bit shipment outlook broadly unchanged.
- **LTA credibility is the key to a valuation step-up:** Kioxia shares fell 56% from a high of ¥108,700 on June 22 to ¥47,730 on August 7 (vs. TOPIX flat). We have highlighted shareholder returns (see page 3) and LTAs as key catalysts for rerating, but we view LTA credibility as the most important medium-to-long-term factor. While LTAs can improve medium-term earnings visibility and stability, the market appears cautious given historical cases where LTAs did not function as expected. Kioxia plans to introduce its first multiyear LTAs as a company from CY2027, but rerating may take time until the stabilizing effect is demonstrated in actual results. Reflecting this, we lower the applied P/E multiple used for our price target to around 9x (from 11x), in line with the 15-year historical average for global memory makers.

Overweight

285A.T, 285A.JP

Price (07 Aug 26): ¥47,730

▼ **Price Target (Dec-27): ¥130,000**

Prior (Dec-26): ¥155,000

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Key Changes (FYE Mar)

	Prev	Cur	Δ
Adj. EPS - 27E (¥)	9,896.79	10,643.88	7.5%
Adj. EPS - 28E (¥)	14,149.05	15,008.72	6.1%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	1	36	1	92	
Growth	1	61	94	100	100
Momentum	1	1	25		
Quality	9	14	16		
Low Vol	100	100	100		

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 8 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	357.4%	-34.1%	10.0%	1975.2%
Rel	337.9%	-34.4%	3.8%	1938.8%

Company Data

Shares O/S (mn)	546
52-week range (¥)	112,700-2,270
Market cap (\$ bn)	165.2
Exchange rate	157.76
Free float (%)	70.8%
3M ADV (mn)	40.92
3M ADV (\$ mn)	17,496.5
Volatility (90 Day)	134
Index	TOPIX
BBG ANR (Buy Hold Sell)	18 0 1

Key Metrics (FYE Mar)

¥ in millions	2026/3A	2027/3E	2028/3E	2029/3E
Financial Estimates				
Revenue	2,337,628	10,240,200	14,108,700	18,298,100
EBITDA	1,183,215	8,315,300	11,617,200	15,028,800
EBIT	870,369	8,002,100	11,241,000	14,562,300
Net income	554,490	5,833,000	8,225,000	10,671,400
Reported EPS	1,015.39	10,643.88	15,008.72	19,472.84
BBG EPS	943.14	10,161.38	13,041.86	-
Cashflow from operations	616,540	4,018,585	7,594,077	10,072,892
FCFF	397,150	3,618,863	7,157,866	9,630,437
Margins and Growth				
Revenue Growth Y/Y (%)	37.0%	338.1%	37.8%	29.7%
EBIT margin	37.2%	78.1%	79.7%	79.6%
EBIT Growth	92.7%	819.4%	40.5%	29.5%
EBITDA margin	50.6%	81.2%	82.3%	82.1%
EBITDA Growth Y/Y (%)	54.9%	602.8%	39.7%	29.4%
Net margin	23.7%	57.0%	58.3%	58.3%
Fully Diluted EPS growth	101.1%	948.3%	41.0%	29.7%
Ratios				
Effective Tax Rate	29.3%	26.5%	26.5%	26.5%
Interest cover	13.6	131.2	250.4	396.5
Net debt/Equity	0.4	NM	NM	NM
Net debt/EBITDA	0.5	NM	NM	NM
ROE	51.9%	155.9%	90.1%	70.6%
Valuation				
FCFF yield	1.5%	13.8%	27.4%	36.8%
Dividend yield	0.0%	1.3%	8.2%	18.4%
EV/Revenue	11.4	2.4	1.4	0.8
EV/EBITDA	22.5	2.9	1.7	1.0
P/E	47.0	4.5	3.2	2.5

Summary Investment Thesis and Valuation

Investment Thesis

We expect Kioxia to deliver above-market growth driven by three durable levers: (1) a mix upgrade from rising enterprise SSD (eSSD) demand, positioning it to outgrow peers as generative AI accelerates server storage adoption; (2) sustained industry-leading low bit cost, underpinned by prudent cost control and advanced technology (e.g., CBA/OPS architectures, QLC), supporting superior profit margins; and (3) high investment efficiency enabled by large-scale capex through the SanDisk JV, which amplifies economies of scale and enhances returns. Combined with high operating leverage, these factors should translate into faster revenue growth and outsized profit compounding versus the broader NAND market.

Valuation

Our end-December 2027 price target of ¥130,000 is based on our FY2027 EPS estimate and a P/E of around 9x, in line with the past 15-year average P/E of global memory manufacturers (previously around 11x, +0.5 standard deviation above the historical average). We remove the premium as we believe it will take time for the market to fully price in improved medium-term earnings stability supported by LTAs.

Performance Drivers

Market	12%
Sector	27%
Macro	8%
Style	2%
Idiosyn.	51%

Factors	6M Corr	1Y Corr
Market: MSCI Japan	0.49	0.35
Sect: Technology	0.65	0.56
Ind: Semicond & S Equip	0.71	0.56
Macro:		
JP GDP Real Chained NSA YoY	0.15	-0.33
Japan CPI Nationwide YoY	0.41	0.30
Nikkei Japan Manufacturing PMI	-0.24	-0.22
Quant Styles:		
Value	-0.56	-0.47
LowVol	-0.56	-0.44
DivYld	-0.52	-0.38

- **Enhanced shareholder returns should help underpin valuation:** On improving profitability, our implied FCF yields for FY2026–FY2028 (as of August 7) are 13%/27%/37%, respectively. At the June Investor Day, the company indicated a policy of actively returning excess FCF, initially prioritizing dividends (as early as FY2026 year-end). However, viewing the rapid share price correction as an opportunity to enhance EPS, Kioxia announced a share buyback of up to ¥800 billion alongside its 1Q (Apr–Jun) results. This represents the first large-scale buyback in the memory ecosystem, and the short execution window (August 3–October 30) also stands out. We view the more proactive and strengthened return stance positively. For reference, Samsung Electronics and SK hynix (both covered by Jay Kwon) target returning 50% of cumulative FCF to shareholders. If Kioxia signals returns above our assumptions (our estimates: FY2026–FY2028 FCF payout ratios of 10%/30%/50%, implying TSR of 4%/8%/18%), this could provide additional rerating potential.
- **NAND market outlook:** In our new Global Memory Market (GMM) report ([link](#)), we maintain our constructive supply-demand outlook, expecting a continued ASP upward trend through 2027 followed by a slight ASP adjustment in 2028 as a result of price divergence between eSSD and Consumer. Against bearish market sentiment ([link](#) - NAND price decline as early as 4Q CY2026), we remain bullish on eSSD penetration, which is critical to handle the greater amount of key value offloading in agentic AI. These should be strong enough to offset the consumer-grade NAND weakness, and we estimate the overall eSSD TAM opportunity to be over 820EB next year, growing at a mid-50% pace YoY. It is also important to note that the majority of LTA contracts are currently centered around eSSD, carrying a significant ASP premium over the rest, and that the rise in eSSD sales mix remains the most important driver for the industry's profit margin profile improvement.
- **Also watching XL FLASH–based Super High IOPS (GP series):** To raise eSSD share from ~10% to 15%, Kioxia is pursuing a three-pillar strategy comprising CM (TLC-based, for KV Cache), GP (SLC-based, for HBM complement/expansion use cases), and LC (QLC-based, for HDD replacement). In particular, GP aims to deliver ultrahigh speed/low latency with a target of 100 million IOPS (input/output operations per second). The company plans to sample GP1 (10 million IOPS) to select customers by end-CY2026. While bit contribution may be limited given SLC, the die penalty (capacity consumption) could be 3–4x versus TLC/QLC, which could become a medium-term tightening factor for supply-demand. We view development qualification and adoption progress as key medium-term catalysts.

Figure 1: KIOXIA Holdings (285A): Key changes

	Sales (JPYm)	YoY (%)	OP (JPYm)	YoY (%)	PBT (JPYm)	YoY (%)	NP (JPYm)	YoY (%)	EPS (JPY)	P/E (x)
3/24 A	1,076,584	-16.0%	(252,698)	--	(343,330)	--	(243,728)	--	-471.0	-101.3
3/25 A	1,706,460	58.5%	451,748	--	370,669	--	272,315	--	504.9	94.5
3/26 A	2,337,628	37.0%	870,369	92.7%	784,095	111.5%	554,490	103.6%	1,015.4	47.0
3/27 CoE	--	--	--	--	--	--	--	--	--	--
3/27 J.P. Morgan E	10,240,200	338.1%	8,002,100	819.4%	7,939,600	912.6%	5,833,000	952.0%	10,643.9	4.5
3/27 J.P. Morgan E (old)	9,759,700	317.5%	7,418,800	752.4%	7,356,300	838.2%	5,404,500	874.7%	9,896.8	4.8
3/27 Bloomberg consensus	9,908,270	323.9%	7,808,557	797.2%	7,858,770	902.3%	5,487,244	889.6%	10,161.4	4.7
3/28 J.P. Morgan E	14,108,700	37.8%	11,241,000	40.5%	11,195,500	41.0%	8,225,000	41.0%	15,008.7	3.2
3/28 J.P. Morgan E (old)	13,510,100	38.4%	10,562,500	42.4%	10,517,000	43.0%	7,726,600	43.0%	14,149.1	3.4
3/28 Bloomberg consensus	12,830,364	29.5%	10,312,595	32.1%	10,457,691	33.1%	7,295,690	33.0%	13,041.9	3.7
3/29 J.P. Morgan E	18,298,100	29.7%	14,562,300	29.5%	14,525,300	29.7%	10,671,400	29.7%	19,472.8	2.5
3/29 J.P. Morgan E (old)	17,520,100	29.7%	13,926,000	31.8%	13,889,000	32.1%	10,203,900	32.1%	18,685.5	2.6
3/29 Bloomberg consensus	14,306,140	11.5%	11,434,907	10.9%	11,388,758	8.9%	8,081,095	10.8%	14,557.1	3.3

Source: Company reports, Bloomberg Finance L.P., J.P. Morgan estimates.

Note: Share price as of August 7.

Figure 2: Earnings forecasts

(mn JPY)	2024/3 FY Act	2025/3 FY Act	2026/3					2027/3					2028/3 FY JPMe	2029/3 FY JPMe	2027/3 2Q CoE
			1Q Act	2Q Act	3Q Act	4Q Act	FY Act	1Q Act	2Q JPMe	3Q JPMe	4Q JPMe	FY JPMe			
Revenue	1,076,584	1,706,460	342,799	448,346	543,631	1,002,852	2,337,628	1,767,117	2,420,200	2,983,800	3,041,400	10,240,200	14,108,700	18,298,100	2,390,000
SSD & Storage	516,361	991,147	217,411	244,559	300,375	600,293	1,362,638	1,174,719	1,681,400	2,127,900	2,277,600	7,261,600	10,975,800	15,387,200	--
Smart Devices	374,293	501,142	79,040	157,300	186,291	337,347	759,978	525,656	672,100	757,400	696,000	2,651,200	2,818,400	2,581,700	--
Other	185,930	214,171	46,348	46,487	56,965	65,212	215,012	66,742	66,700	66,700	67,800	267,900	277,900	287,900	--
Revenue YoY%	-16%	59%	-20%	-7%	21%	189%	37%	415%	440%	449%	203%	338%	35%	30%	433%
SSD & Storage	-21%	92%	-3%	-11%	8%	179%	37%	440%	588%	608%	279%	433%	51%	40%	--
Smart Devices	-15%	34%	-48%	3%	59%	324%	52%	565%	327%	307%	106%	249%	6%	-8%	--
Other	-1%	15%	-13%	-14%	5%	25%	0%	44%	43%	17%	4%	25%	4%	4%	--
Revenue QoQ%	--	--	-1%	31%	21%	84%	--	76%	37%	23%	2%	--	--	--	35%
SSD & Storage	--	--	1%	12%	23%	100%	--	96%	43%	27%	7%	--	--	--	--
Smart Devices	--	--	-1%	99%	18%	81%	--	56%	28%	13%	-8%	--	--	--	--
Other	--	--	-11%	0%	23%	14%	--	2%	0%	0%	2%	--	--	--	--
Operating profit	-252,698	451,748	44,899	85,921	142,754	596,795	870,369	1,270,017	1,892,600	2,368,100	2,388,600	8,002,100	11,241,000	14,562,300	--
YoY%	--	--	-64%	-48%	16%	1507%	93%	2729%	2103%	1559%	300%	819%	40%	30%	--
QoQ%	--	--	21%	91%	66%	318%	--	113%	49%	25%	1%	--	--	--	--
OPM %	-23%	26%	13%	19%	26%	60%	37%	72%	78%	79%	79%	78%	80%	80%	--
Profit before tax	-343,330	370,669	27,294	56,716	121,740	578,345	784,095	1,234,720	--	--	--	7,939,600	11,195,500	14,525,300	--
Net income	-243,728	272,315	18,284	40,662	87,810	407,734	554,490	842,165	--	--	--	5,833,000	8,225,000	10,671,400	--
EPS	-471	505	--	--	--	--	1,015	--	--	--	--	10,644	15,009	19,473	--
Capex	305,097	225,603	53,577	91,473	70,933	67,691	283,674	52,402	--	--	--	446,300	470,300	470,300	--
D&A	346,066	312,307	79,987	78,852	77,580	76,407	312,826	76,082	--	--	--	313,200	376,200	466,500	--
R&D	141,030	132,798	34,479	35,731	34,300	36,565	141,075	39,409	--	--	--	220,400	231,000	243,000	--
Key indicators															
Bit growth YoY%	--	--	--	--	--	--	--	31%	6%	10%	25%	17%	18%	23%	--
Price YoY%	--	--	--	--	--	--	--	258%	363%	373%	137%	253%	17%	6%	--
Bit growth QoQ%	--	--	--	--	--	--	--	3%	10%	9%	2%	--	--	--	--
Price QoQ%	--	--	--	--	--	--	--	68%	24%	12%	1%	--	--	--	--
Forex															
USD/JPY	144	153	145	147	153	155	150	160	159	159	159	159	159	159	162

Source: Company reports and J.P. Morgan estimates.

Figure 3: Consolidated BS/CF

(mn JPY)	2024/3	2025/3	2026/3	2027/3	2028/3	2029/3
	FY	FY	FY	FY	FY	FY
	Act	Act	Act	JPM	JPM	JPM
Summarized BS						
Current assets	651,375	806,709	1,617,829	5,955,012	12,149,504	18,323,550
Cash and cash equivalents	187,593	167,932	470,707	2,336,103	7,242,747	11,964,043
Trade and other receivables	149,815	238,594	660,559	2,893,641	3,986,789	5,170,615
Inventories	271,781	352,863	412,612	651,315	846,015	1,114,939
Other	42,186	47,320	73,951	73,953	73,953	73,953
Fixed assets	2,213,566	2,112,970	2,072,242	2,282,742	2,376,842	2,380,642
Tangible fixed assets	1,168,765	1,100,181	1,055,255	1,188,355	1,282,455	1,286,255
Other	1,044,801	1,012,789	1,016,987	1,094,387	1,094,387	1,094,387
Current liabilities	1,866,127	985,173	1,098,008	1,442,178	1,722,902	2,110,645
Trade and other payables	512,502	504,011	594,917	939,087	1,219,811	1,607,554
Short-term liabilities	826,413	246,508	175,452	175,452	175,452	175,452
Others	527,212	234,654	327,639	327,639	327,639	327,639
Long-term liabilities	549,048	1,196,810	1,192,984	712,984	632,984	552,984
Long-term liabilities	284,899	531,198	872,116	392,116	312,116	232,116
Others	264,149	665,612	320,868	320,868	320,868	320,868
Net assets	449,766	737,696	1,399,079	6,082,593	12,170,459	18,040,563
Shareholders' equity	398,463	702,357	1,274,043	5,957,555	12,045,421	17,915,525
Accumulated other comprehensive income	51,172	35,208	124,888	124,888	124,888	124,888
Total assets	2,864,941	2,919,679	3,690,071	8,237,754	14,526,346	20,704,192
Net debt	923,719	609,774	576,861	-1,768,535	-6,755,179	-11,556,475
Cash and cash equivalents	187,593	167,932	470,707	2,336,103	7,242,747	11,964,043
Interest-bearing debt	1,111,312	777,706	1,047,568	567,568	487,568	407,568
Capital adequacy ratio	14%	24%	35%	72%	83%	87%
Summarized CF						
CF from operating activities	195,111	476,416	616,540	4,018,585	7,594,077	10,072,892
Net income	-243,728	272,315	554,490	5,833,000	8,225,000	10,671,400
Depreciation expense	346,066	312,307	312,826	313,200	376,200	466,500
Change in working capital	146,004	-183,826	-400,296	-2,127,615	-1,007,123	-1,065,008
Others	-53,231	75,620	149,520	0	0	0
CF from investing activities	-274,853	-173,011	-221,512	-523,700	-470,300	-470,300
Expenditure on acquisition of fixed assets	-304,436	-223,847	-281,062	-446,300	-470,300	-470,300
Income from the sale of fixed assets	11,346	8,820	6,254	0	0	0
Others	18,237	42,016	53,296	-77,400	0	0
CF from financial activities	3,238	-322,679	-96,074	-1,629,488	-2,217,133	-4,881,296
Change in borrowings	30,769	-324,259	-80,792	-480,000	-80,000	-80,000
Bond issue	0	0	326,656	0	0	0
Share issue	0	30,367	11,588	0	0	0
Purchase and sales of treasury stock	0	0	0	-800,000	0	0
Dividends paid to owner of parent co.	0	0	0	-349,488	-2,137,133	-4,801,296
Others	-27,531	-28,787	-353,526	0	0	0
FCF	-79,742	303,405	395,028	3,494,885	7,123,777	9,602,592

Source: Company reports and J.P. Morgan estimates.

Note: FCF above is calculated by Operating CF + Investing CF.

Investment Thesis, Valuation and Risks

KIOXIA Holdings (285A) *(Overweight; Price Target: ¥130,000)*

Investment Thesis

We expect Kioxia to deliver above-market growth driven by three durable levers: (1) a mix upgrade from rising enterprise SSD (eSSD) demand, positioning it to outgrow peers as generative AI accelerates server storage adoption; (2) sustained industry-leading low bit cost, underpinned by prudent cost control and advanced technology (e.g., CBA/OPS architectures, QLC), supporting superior profit margins; and (3) high investment efficiency enabled by large-scale capex through the SanDisk JV, which amplifies economies of scale and enhances returns. Combined with high operating leverage, these factors should translate into faster revenue growth and outsized profit compounding versus the broader NAND market

Valuation

Our end-December 2027 price target of ¥130,000 is based on our FY2027 EPS estimate and a P/E of around 9x, in line with the past 15-year average P/E of global memory manufacturers.

Risks to Rating and Price Target

Upside Scenario to Target Price/Rating

- AI demand exceeding or sustaining above expectations
- Continued disciplined capital investment to avoid overinvestment
- Expansion of SSD market share in the nearline HDD segment

Downside Scenario to Target Price/Rating

- Slowdown in AI-related demand
- Deterioration in the supply-demand balance due to aggressive capital investment
- Demand deteriorating resulting from a sharp rise in NAND prices
- Delays in new product development
- Semiconductor downcycle leading to earnings deterioration
- Macro downturn resulting in greater consumer NAND demand deceleration

KIOXIA Holdings (285A): Summary of Financials

Income Statement						Cash Flow Statement					
	2025/3A	2026/3A	2027/3E	2028/3E	2029/3E		2025/3A	2026/3A	2027/3E	2028/3E	2029/3E
Revenue	1,706,460	2,337,628	1,014,240	1,018,700	1,298,100	Cash flow from operating activities	476,416	616,540	4,018,585	759,077	10,072,892
COGS	(824,720)	(1,011,878)	(1,777,900)	(2,340,000)	(3,113,100)	o/w Depreciation & amortization	312,307	312,826	313,200	376,200	466,500
Gross profit	881,740	1,325,750	846,340	1,768,700	1,585,000	o/w Changes in working capital	(183,826)	(400,296)	(2,127,615)	(1,007,123)	(1,065,008)
SG&A	(127,851)	(146,581)	(151,000)	(155,500)	(160,200)	Cash flow from investing activities	(173,011)	(221,512)	(523,700)	(470,300)	(470,300)
EBITDA	764,055	1,183,215	831,300	1,617,200	1,502,800	o/w Capital expenditure	(223,847)	(281,062)	(446,300)	(470,300)	(470,300)
D&A	(312,307)	(312,846)	(313,200)	(376,200)	(466,500)	as % of sales	13.1%	12.0%	4.4%	3.3%	2.6%
EBIT	451,748	870,369	800,100	1,241,000	1,562,300	Cash flow from financing activities	(322,679)	(96,074)	(1,629,488)	(2,217,133)	(4,881,296)
Net Interest	(81,621)	(87,209)	(63,400)	(46,400)	(37,900)	o/w Dividends paid	0	0	(349,488)	(2,137,133)	(4,801,296)
PBT	370,669	784,095	939,600	1,195,500	1,525,300	o/w Shares issued/(repurchased)	30,367	11,588	(800,000)	0	0
Tax	(98,348)	(229,599)	(2,106,600)	(2,970,500)	(3,853,900)	o/w Net debt issued/(repaid)	(324,259)	(80,792)	(480,000)	(80,000)	(80,000)
Minority Interest	(6)	(6)	0	0	0	Net change in cash	(19,661)	302,775	1,865,396	4,906,644	721,296
Net Income	272,315	554,490	833,008	2,225,000	1,671,400	Adj. Free cash flow to firm	312,534	397,150	3,618,863	715,866	9,630,437
Reported EPS	504.89	1,015.39	1,643.88	1,508.72	1,472.84	y/y Growth	3837.0%	27.1%	811.2%	97.8%	34.5%
DPS	0.00	0.00	637.74	3,899.77	8,761.26						
Payout ratio	0.0%	0.0%	6.0%	26.0%	45.0%						
Shares outstanding	539	546	548	548	548						

Balance Sheet						Ratio Analysis					
	2025/3A	2026/3A	2027/3E	2028/3E	2029/3E		2025/3A	2026/3A	2027/3E	2028/3E	2029/3E
Cash and cash equivalents	167,932	470,707	2,336,103	724,747	1,964,043	Gross margin	51.7%	56.7%	82.6%	83.4%	83.0%
Accounts receivable	238,594	660,559	893,643	986,789	1,170,615	EBITDA margin	44.8%	50.6%	81.2%	82.3%	82.1%
Inventories	352,863	412,612	651,315	846,015	1,114,939	EBIT margin	26.5%	37.2%	78.1%	79.7%	79.6%
Other current assets	638,777	1,147,122	3,618,909	4,906,756	3,559,507	Net profit margin	16.0%	23.7%	57.0%	58.3%	58.3%
Current assets	806,709	1,617,829	5,955,012	12,504,183	12,323,550	ROE	45.9%	51.9%	155.9%	90.1%	70.6%
PP&E	1,100,181	1,055,255	1,188,355	1,282,455	1,286,255	ROA	9.4%	16.8%	97.8%	72.3%	60.6%
LT investments	-	-	-	-	-	ROCE	21.6%	31.1%	129.3%	85.5%	68.8%
Other non current assets	409,812	432,118	509,518	509,518	509,518	SG&A/Sales	7.5%	6.3%	1.5%	1.1%	0.9%
Total assets	2,919,679	3,690,071	8,237,754	14,526,346	20,192,704	Net debt/Equity	0.8	0.4	NM	NM	NM
Short term borrowings	246,508	175,452	175,452	175,452	175,452	Net debt/EBITDA	0.8	0.5	NM	NM	NM
Payables	504,011	594,917	939,087	1,219,811	1,607,554	Sales/Assets (x)	0.6	0.7	1.7	1.2	1.0
Other short term liabilities	234,654	327,639	327,639	327,639	327,639	Assets/Equity (x)	4.9	3.1	1.6	1.2	1.2
Current liabilities	985,173	1,098,008	1,442,178	1,722,902	1,110,645	Interest cover (x)	9.4	13.6	131.2	250.4	396.5
Long-term debt	531,198	872,116	392,116	312,116	232,116	Operating leverage	-476.5%	250.5%	242.4%	107.1%	99.5%
Other long term liabilities	1,196,810	1,192,984	712,984	632,984	552,984	Tax rate	26.5%	29.3%	26.5%	26.5%	26.5%
Total liabilities	2,181,983	2,290,992	1,555,162	2,355,862	1,663,629	Revenue y/y Growth	58.5%	37.0%	338.1%	37.8%	29.7%
Shareholders' equity	737,565	1,398,931	6,844,312	17,309,180	18,404,413	EBITDA y/y Growth	718.3%	54.9%	602.8%	39.7%	29.4%
Minority interests	131	150	150	150	150	EPS y/y growth	-207.2%	101.1%	948.3%	41.0%	29.7%
Total liabilities & equity	2,919,679	3,690,071	8,237,754	14,526,346	20,192,704						

BVPS						Valuation					
	2025/3A	2026/3A	2027/3E	2028/3E	2029/3E		2025/3A	2026/3A	2027/3E	2028/3E	2029/3E
BVPS	1,367.74	2,562.01	11,099.32	22,082.73	23,919.86	P/E (x)	94.5	47.0	4.5	3.2	2.5
y/y Growth	57.4%	87.3%	333.2%	100.1%	48.2%	P/BV (x)	34.9	18.6	4.3	2.1	1.4
Net debt/(cash)	609,774	576,861	(1,768,535)	(6,755,179)	(11,556,475)	EV/EBITDA (x)	34.9	22.5	2.9	1.7	1.0
						Dividend Yield	0.0%	0.0%	1.3%	8.2%	18.4%

Source: Company data and J.P. Morgan estimates

Note: ¥ in millions (except per-share data). Fiscal year ends Mar. o/w - out of which

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KIOXIA Holdings (285A) (285A.T, 285A JP) Price Chart



Date	Rating	Price (Y)	Price Target (Y)
23-Jan-26	OW	17910	25,000
22-Mar-26	OW	22360	38,000
17-May-26	OW	44450	80,000
19-Jun-26	OW	96900	155,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 23, 2026. All share prices are as of market close on the previous business day.

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